

25VECV06958 25VECV06958

County: los-angeles
Division: Civil Law and Motion
Department: NWI
Hearing date: 2026-06-23
Motion: PLAINTIFF'S MOTION TO COMPEL ARBITRATION AND STAY ACTION
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Case Number: 25VECV06958 Hearing Date: June 23, 2026 Dept: NWI

SUPERIOR

COURT OF THE STATE OF CALIFORNIA

COUNTY

OF LOS ANGELES

SMBAT

TOROSIAN, an individual;

Plaintiff,

vs.

LARRY R. GREENBERG, an individual; LARRY R.

GREENBERG TRUSTEE OF THE LARRY R. GREENBERG REVOCABLE TRUST U/T/A NOVEMBER

7, 2000; and DOES 1 to 25, inclusive,

Defendants.

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CASE

NO: 25VECV06958

[TENTATIVE]

ORDER RE: PLAINTIFF'S MOTION TO COMPEL ARBITRATION AND STAY ACTION

DEPT.

I

HEARING

DATE: JUNE 23, 2026

TIME: 8:30 A.M.

COMPLAINT

FILED: DECEMBER 8, 2025

TRIAL

DATE: NONE

BACKGROUND

On December 8,

2025, Smbat Torosian ("Plaintiff") filed a complaint against Larry R. Greenberg

("Greenberg"), Larry R. Greenberg as Trustee of the Larry R. Greenberg

Revocable Trust u/t/a November 7, 2000 (the "Trust")(collectively "Defendants"),

and Does 1 to 25 alleging three causes of action: (1) breach of contract; (2)

negligent misrepresentation; and (3) breach of fiduciary duty.

On February 3,

2026, Plaintiff filed a first amended complaint ("FAC") alleging five causes of

action: (1) breach of contract; (2) intentional misrepresentation; (3)

negligent misrepresentation; (4) breach of fiduciary duty; and (5) intentional

infliction of emotional distress.

On May 13, 2026,

Plaintiff filed a second amended complaint (“SAC”) alleging three causes of action: (1) breach of contract; (2) intentional misrepresentation; and (3) negligent misrepresentation.

On May 21, 2026,

Plaintiff filed the instant motion to compel arbitration and stay proceedings.

On June 9, 2026,

Defendants filed their opposition.

On June 15, 2026,

Plaintiff filed his reply.

I.

LEGAL STANDARD

In

deciding a motion to compel arbitration, trial courts must first decide whether an enforceable arbitration agreement exists between the parties and then determine the second gateway issue of whether the claims are covered within the scope of the agreement. (See *Omar v. Ralphs Grocery Co.* (2004) 118 Cal.App.4th 955, 961.)(See also *Chiron Corp. v. Ortho Diagnostic Systems, Inc.* (9th Cir. 2000) 207 F. 3d 1126, 1130 [“The court’s role under the [Federal Arbitration Act (“FAA”)] is therefore limited to determining (1) whether a valid agreement to arbitrate exists and, if it does, (2) whether the

agreement encompasses the dispute at issue.”]. “The petitioner bears the burden of proving the existence of a valid arbitration agreement by the preponderance of the evidence, and a party opposing the petition bears the burden of proving by a preponderance of the evidence any fact necessary to its defense.” (Engalla v. Permanente Medical Group, Inc. (1997) 64 Cal.Rptr.2d 903, 915-16.) “In these summary proceedings, the trial court sits as a trier of fact, weighing all the affidavits, declarations, and other documentary evidence, as well as oral testimony received at the court’s discretion, to reach a final determination.” (Id. at 916.) No jury trial is available for a motion to compel arbitration. (Ibid.)

Accordingly,

under both the FAA and California Law, arbitration agreements are valid, irrevocable, and enforceable, except on such grounds that exist at law or equity for voiding a contract. (Winter v. Window Fashions

Professions, Inc. (2008) 166 Cal.App.4th 943, 947.)

III. DISCUSSION

Requests for

Judicial Notice

As a preliminary

matter, Plaintiff's June 15, 2026, requests for judicial notice are denied.

Judicial notice of Plaintiff's complaints is unnecessary and redundant since

the Court can always review its own case file.

Existence of a

Valid Arbitration Agreement

Plaintiff

fails to prove the existence of a valid arbitration agreement with Defendants.

Plaintiff's

claims arise from Greenberg's acts as Plaintiff's real estate broker during

Plaintiff's purchase of the property at 9808 Kester Ave., North Hills, CA 91343

(the "Property"), which is owned by the Trust. (See SAC at ¶¶ 1-15.)

Plaintiff further alleges that Defendants thereafter materially breached the

parties' purchase agreement "by making new demands for new and different

information, claiming that Plaintiff was not credit-worthy when such issue was

not part of the seller financed contract and making other demands outside the

scope of the agreement in a clear and unambiguous repudiation and breach of the

contract." (Id. at ¶ 35.)

Plaintiff

argues that a binding arbitration agreement exists because Section 28(A) of the

Purchase Contract concerning the Property contains an arbitration clause

initialed by all parties. (Motion at 6:8-12; Exh. A [Purchase Contract].) The clause provides, in pertinent part, that “[t]he Parties agree that any dispute or claim in Law or equity arising between them out of this Agreement or any resulting transaction, which is not settled through mediation, shall be decided by neutral, binding arbitration. The Parties also agree to arbitrate any disputes or claims with Agent(s) who, in writing, agree to such arbitration prior to, or within a reasonable time after, the dispute or claim is presented to the Agent.” (See Exh. A [Purchase Contract] at p. 14.) “BY INITIALING IN THE SPACE BELOW YOU ARE AGREEING TO HAVING ANY DISPUTE ARISING OUT OF THE MATTERS INCLUDED IN THE ‘ARBITRATION OF DISPUTES’ PROVISION DECIDED BY NEUTRAL ARBITRATION AS PROVIDED BY CALIFORNIA LAW AND YOU ARE GIVING UP ANY RIGHTS YOU MIGHT POSSESS TO HAVE THE DISPUTE LITIGATED IN A COURT OR JURY TRIAL . . .” (Ibid.)

In

opposition, Defendants first argue that no contract was ever formed since the statute of frauds independently bars enforcement. (Opposition at 6:24-7:28.)

Cal. Civ. Code § 1624(a)(3) requires that “[a]n agreement . . . for the sale of real property, or for an interest therein; such an agreement, if made by an agent of the party sought to be charged, is invalid, unless the authority of the agent is in writing, subscribed by the party sought to be charged.” (Civ. Code § 1624(a)(3).) Defendants argue that they did not subscribe the Purchase

Contract at large, and “[a]n arbitration clause embedded within a real estate purchase agreement cannot survive independently where the underlying agreement itself fails the Statute of Frauds.” (Opposition at 7:22-28.) In reply, Plaintiff references his allegations in the SAC; specifically, that “[i]t is the Plaintiff’s understanding and belief that Larry R. Greenberg printed 2 identical copies of Purchase Contract which the Plaintiff and the Greenberg Defendants then initialed and signed.” (Reply at p. 2 [citing SAC at ¶ 18].) “After this meeting, the Plaintiff realized the copy of the Purchase Contract he retained only had the party’s initials. It is the Plaintiff’s understanding and belief that the copy of the Purchase Contract that the Greenberg Defendants retained has the party’s signatures.” (Id. [citing SAC at ¶ 19].) Plaintiff also cites *Kreling v. Walsh* (1947) 77 Cal.App.2d 821, holding that the physical transfer of a document is not “indispensable to its validity” given “clear and substantial evidence that the written agreement was executed by the respective parties thereto.” (*Kreling*, supra, 77 Cal.App.2d at 833.)

The

Court now looks to the evidence provided by Plaintiff. Plaintiff attaches the Purchase Agreement, in full, as Exhibit 1 to his SAC. (See SAC at Exh. 1.) Notably, this Purchase Agreement contains the previously discussed

arbitration clause on page 14. (See Exh. 1 [Purchase Agreement] at p.

14.) This page is initialed by both parties. (Ibid.) However, page 16,

dictating "Acceptance of Offer," fails to bear signatures by either party.

(Id. at p. 16.)

Plaintiff

also provides an email as Exhibit 9 to his SAC from Greenberg, stating that

Plaintiff "misrepresented" his financials and suggesting that Plaintiff "walk

away" from the deal. (See SAC at Exh. 9.) Exhibit 10 to the SAC is

another email from Greenberg discussing Plaintiff's alleged inability to afford

the Property's mortgage in detail. (Id. at Exh. 10.) Furthermore, Exhibit

12 is an email from Greenberg, to Plaintiff, serving as a "formal rejection" of

Plaintiff's request for a seller loan. (Id. at Exh. 12.) Accordingly,

when considering the "clear and substantial evidence" (see Kreling), the

Court finds that the parties did not execute a Purchase Agreement and,

therefore, the arbitration clause within the Agreement is unenforceable

pursuant to the statutes of frauds. (See Civ. Code § 1624.) While

Plaintiff cites a November 5, 2025, email where Greenberg purportedly admits to

signing the Purchase Agreement (see Reply at 4:20-23), the Court cannot

order arbitration unless Plaintiff proves the existence of a valid arbitration

agreement. "The petitioner bears the burden of proving the existence

of a valid arbitration agreement by the preponderance of the evidence, and a party opposing the petition bears the burden of proving by a preponderance of the evidence any fact necessary to its defense." (Engalla v. Permanente Medical Group, Inc. (1997) 64 Cal.Rptr.2d 903, 915-16.) Similarly, signed addendums to the Purchase Agreement still fail to meet Plaintiff's burden of proving a signed Purchase Agreement, containing a valid and enforceable arbitration clause, exists.

II.

CONCLUSION

Based

on the foregoing, the instant motion to compel arbitration is DENIED without prejudice.

Moving

party to give notice.

Dated: June

____, 2026 _____

Hon. Karen Moskowitz

Judge

of the Superior Court